

25STCV30414 25STCV30414

County: los-angeles

Division: Civil Law and Motion

Department: 517

Hearing date: 2026-06-25

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Case Number: 25STCV30414 Hearing Date: June 25, 2026 Dept: 517

Plaintiffs M&M Investment, LLC ("M&M") and its managing member Mayra Lugo ("Lugo") (collectively, "Plaintiffs") sued multiple Defendants in connection with a foreclosure on real property located at 2000 N. New Hampshire in Los Angeles that the Plaintiffs owned ("the Subject Property"). Two of those Defendants are Xpress Lending ("Xpress") and Kevin Duvon ("Duvon") (collectively "the Xpress Defendants"). Plaintiffs' claims against the Xpress Defendants are for (1) an order quieting title to the Subject Property; (2) fraud; and (3) breach of contract. Pending before the Court is the Xpress Defendants' demurrer to all three claims. The Court is sustaining the demurrer. The Court is giving Plaintiffs leave to amend their Complaint because it is reasonably possible that the Plaintiffs can cure the pleading defects identified herein. (Goodman v. Kennedy, (1976) 18 Cal.3d 335, 349.) In light of the ruling on the Xpress Defendants' demurrer, the Court is denying their separate motion to strike as moot. Plaintiffs shall file and serve a First Amended Complaint within 30 days of this order.

1.

Quiet Title

A claim for quiet title may be brought to establish title against adverse claims to real or personal property or any interest therein. (Code Civ. Proc., § 760.020.) In demurring to the Plaintiffs' quiet title claim, the Xpress Defendants argue that the Plaintiffs have failed to allege that the Xpress Defendants have an adverse claim to, or an interest in, the Subject Property. The Court agrees. Plaintiffs counter that they have alleged that the Xpress Defendants benefitted from the foreclosure on the Subject Property.

Even if that is so, it does not amount to an adverse claim to, or interest in, the Subject Property.

2.

Fraud

The Plaintiffs' fraud claim is based on asserted misrepresentations made by the Xpress Defendants. The elements of this claim are (1) a misrepresentation; (2) knowledge of falsity (scienter); (3) intent to defraud; (4) justifiable reliance; and (5) resulting damage. (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1239.) The elements of all fraud claims must be pled with specificity. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43.) For claims of fraudulent misrepresentation, the heightened pleading requirement means that the plaintiff must allege with particularity "how, when, where, to whom, and by what means the representations were made." (*Ibid*; see also *Scott v. J.P.Morgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 763.) "The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

The Xpress Defendants correctly argue in their demurrer that the allegations on which the Plaintiffs' fraud claim here rest lack the requisite specificity. Those allegations appear in Paragraph 42 of the Plaintiffs' Complaint. There, the Plaintiffs allege that they entered into an agreement with the Xpress Defendants in which the Xpress Defendants promised to make mortgage payments on the Subject Property for the Plaintiffs so as to avoid foreclosure and to start doing rehab work on the Subject Property, but that they did not follow through on that commitment. (Complaint, ¶ 42.) The problem is that these allegations do not plead specific facts regarding when the representations were made, to whom they were made, and by what means. Nor do the allegations plead specific facts as to the authority of Duvon, or anyone for that matter, to make representations on behalf of Xpress.

3.

Breach of Contract

The elements of a cause of action for breach of contract are: (1) a contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) resulting damages. (*Naranjo v. Doctors Medical Center, Inc.* (2025) 111 Cal.App.5th 408, 430.)

The Complaint alleges a contract between Plaintiffs and the Xpress

Defendant for the payment of the mortgage on the Subject Property. (Complaint, ¶ 65.) The

Complaint fails to allege, however, what the terms of that contract were. The contract is not attached to the Complaint. Nor are its terms set forth in the Complaint. And the contract's legal effect is not pled either. (*Construction Protective*

Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 199 [existence of a contract may be alleged by attaching the contract to the contract, setting forth its terms verbatim, or pleading its legal effect]; see also *Otworth v. Southern Pac. Transportation Co.* (1985) 166 Cal.App.3d 452, 459 [same].) Relatedly, it is unclear from the Complaint what obligations the Plaintiff had to perform under the alleged contract.

Another flaw is that Complaint fails to allege whether the purported contract was written, oral, or implied. This pleading void provides a valid basis for the Xpress Defendants' demurrer to the breach of contract claim. (Code Civ. Proc., § 430.10, subd. (g).)